Week 4
The Structure of the UK Banking Sector

Main Questions

How are Building Societies different from banks?

What are the largest UK Banks?

What are the differences in UK vs US banking structures?

What are the main issues of competition in the UK retail banking?

Readings on the Reading list

- On Building Societies: pages 82-85 in Howells & Bain
- Report on "*Banking and Competition in the UK economy*" - download the report by Social Market Foundation
- Financial Times article on Open Banking.

Building societies

Read the pages from Howells & Bain

Began in 1775, Birmingham

- Similar to credit unions in other countries, these are "mutual organizations"

Initially: a monthly subscription to a central pool of funds which was used to finance the building of houses for members

1980s: they were allowed to "demutualize" and become limited companies with shareholders

Since then, they have become more like banks.

Following the Building Societies Act 1986, a number of major building societies decided either to incorporate as banks or to merge with existing banks. The major conversions (with dates) were:

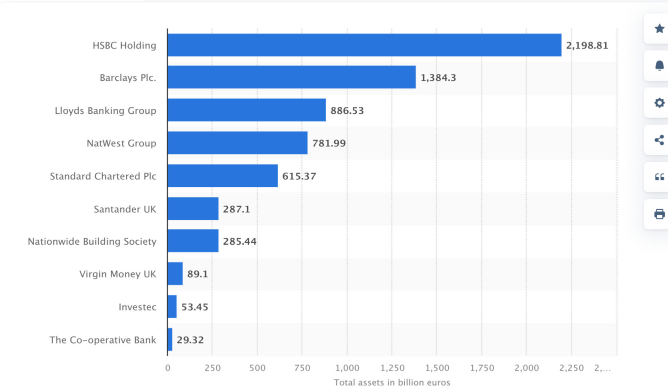
Abbey National B.S.	incorporated as bank	July 1989
Cheltenham and Gloucester B.S.	joined Lloyds Bank Group	July 1995
National and Provincial B.S.	joined Abbey National Bank	August 1996
Alliance and Leicester B.S.	incorporated as bank	April 1997
Halifax B.S.	incorporated as bank	June 1997
Woolwich B.S.	incorporated as bank	July 1997
Bristol and West B.S.	joined Bank of Ireland Group	July 1997
Northern Rock	incorporated as a bank	October 1997
Birmingham Midshires B.S.	joined Halifax Bank	March 1999
Bradford and Bingley	incorporated as a bank	December 2000

- total assets of £415 billion, employ 42,500 staff
- provide 23% of the total outstanding residential mortgages, hold 19% of all retail banking

Today the largest: Nationwide Building Society
- 700 branches, more than 18,000 employees, holds more than 80% of the building society assets
- Still a mutual organization.

Largest banks in the United Kingdom (UK) in 2021 by total assets

(in billion euros)

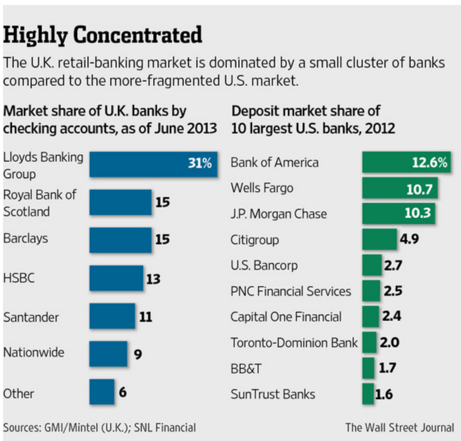


Click here to watch a short video on top 5

https://www.youtube.com/watch?v=Vt43qM-INkw

© Statista

UK vs US banking structures



For retail banking

the US banking industry is more competitive, less concentrated.

Concentration in sectors/markets

How to measure concentration ?

Herfindahl-Hirschman Index (HHI) = the sum of the square of company market shares

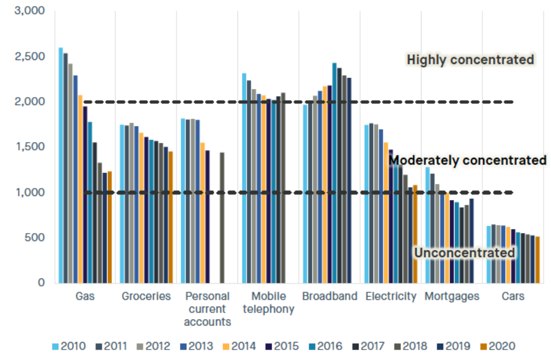
A HHI score of 10,000 relates to a perfect monopoly

Using the HHI, markets are classified:

a) If HHI < 1,000: Un-concentrated markets
b) If 1,000 <HHI < 2,000: Moderately concentrated markets
c) If HHI > 2,000: Highly concentrated markets.

Concentration in various sectors in the UK

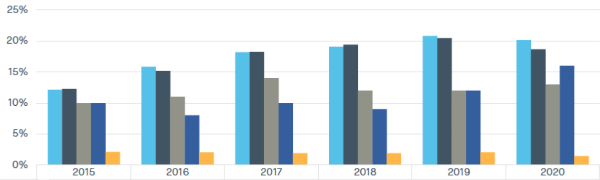
Figure 3: HHI ratios over time



Source: SMF analysis. More information on data sources in report appendix.

Very low switching rates in banking is one of the reasons behind relatively high concentration in banking

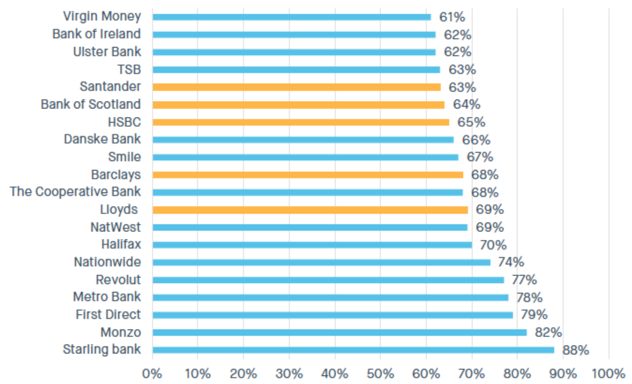
Figure 5: Annual switching rates between suppliers



	2015	2016	2017	2018	2019	2020
Electricity	12.1%	15.8%	18.2%	19.1%	20.8%	20.2%
Gas	12.3%	15.2%	18.3%	19.4%	20.5%	18.7%
Broadband	10.0%	11.0%	14.0%	12.0%	12.0%	13.0%
Mobile telephony	10.0%	8.0%	10.0%	9.0%	12.0%	16.0%
Current accounts	2.1%	2.1%	1.9%	1.9%	2.0%	1.4%

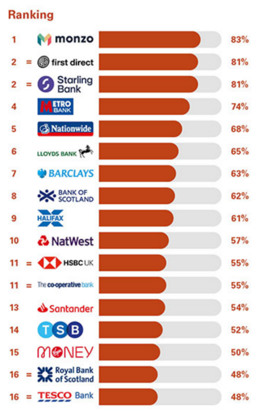
Source: SMF analysis. More information on data sources in report appendix.

Figure 8: Which? customer scores for retail banks. "Big Five" banks in yellow bars.



Overall service quality

We asked customers how likely they would be to recommend their personal current account provider to friends and family.



Source:
IPSOS Mori survey on customer satisfaction with retail banking, August 2021

Current account holder satisfaction is typically higher with smaller banks

Challenger bank: small, recently created retail banks that compete with the large banks

(e.g. Starling, Monzo, Atom, Metro)

They are more focused on "fin-tech."

Causes of higher market concentration in the banking sector

Read the chapter from "Issues in Banking Competition" report

What are the main issues with competition in the UK retail banking ?

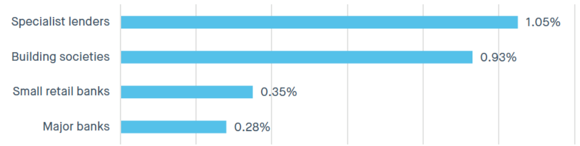
1. Scale and incumbency advantages in banking:

- Economies of scale: Fixed costs such as human resources, finance and IT systems account for a smaller share of total costs for larger banks
- Big banks with more assets have a more diverse portfolio (less risk)
- Big banks have data on more and varied types of customers and can better estimate riskiness
- Consumers are risk-averse and prefer the familiarity and confidence they get from a recognised bank.

Causes of higher market concentration in the banking sector

How do we know that large banks are not good for the consumers ?

Figure 9: Average customer interest rate on 'on demand' deposits



Source: Financial Conduct Authority (2018), "Strategic Review of Retail Banking Business Models: Final Report"

Large banks offer lower deposit rates.

Causes of higher market concentration in the banking sector

2. Bank regulation favours large banks over smaller ones

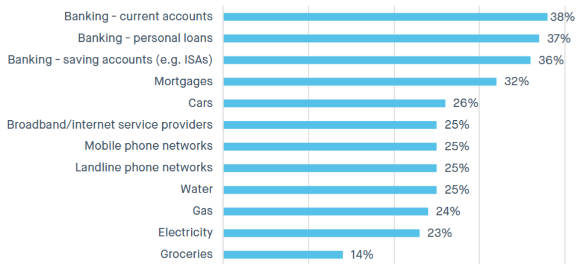
- Larger banks, with more assets can find it easier to meet capital requirements (i.e. the amount of money they are required to set aside as a buffer in case risky assets such as loans or mortgages fail)
- Capital requirements are lighter for accredited banks
  - The accreditation can be a long, cumbersome and resource-intensive process
  - It also favours institutions with a strong existing record of modelling risk behind them.

Causes of market concentration in the banking sector

3. Customer Disengagement

- Customer inertia: Despite lower interest rates offered by large banks on deposits, customers don no seem to be switching to banks offering more attractive rates.

Figure 12: Proportion of consumers that have not and would not consider purchasing a product/service from a company established in the last three years



Causes of market concentration in the banking sector

Figure 13: Number of finance providers considered by SMEs that sought finance in the preceding three years, 2016-19

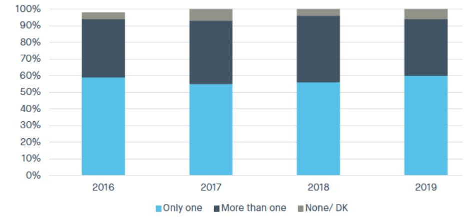
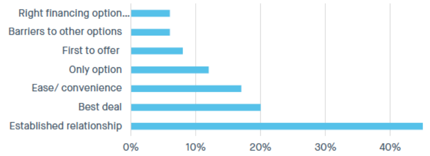


Figure 14: Reasons for approaching only one provider, 2019



Source: British Business Bank (2019) Business Finance Survey: SMEs.

Causes of market concentration in the banking sector

3. Customer Disengagement

Increasing product complexity also makes it hard to compare

- personal current accounts that offer benefits like cashback, bonuses for particular types of spending or
- package accounts that bundle current accounts with other services like insurance

Lack of advanced price comparison websites for banking

- In markets like energy, the rise of price comparison websites helped consumers
  - In 2019, 49% used these websites to find their energy deal, a further 8% used an 'auto-scanning' service that notified them of new deals and 2% used an automatic switching service.

Banking Reforms – Open Banking

Read the Financial Times article on the reading list

What is it? With our permission, our financial data is now shared by banks with app developers and other financial institutions

Why is this being done? To increase competition and innovation

Who benefits? Consumers, but also fintech companies

Examples of open banking:

https://sifted.eu/articles/subscriptions-vrps-open-banking-fintechs-brnd/

https://www.openbanking.org.uk/app-store/

Banking Reforms – Open Banking

Can you think of potential problems with open banking?

- Consumers should be aware that the information they get from a third party app may not be impartial
  - "They may find you an energy deal that saves you money, but there's no guarantee they've searched the whole of the energy market to find the cheapest tariff. They may just offer deals from companies who pay them for new business,"
- Security risk? Protecting customer data might be challenging considering cyber security crime…etc
- ….other concerns ?
- researchers from University of Chicago warn: https://www.chicagobooth.edu/review/how-open-banking-could-backfire.

Thank you